(A Maharatna Company)

Diversifying Growth Consolidating Strengths

CHAIRMAN'S SPEECH at the 36th ANNUAL GENERAL MEETING held on 21st September, 2022

LADIES AND GENTLEMEN,

Welcome to the 36th Annual General Meeting of your company. The pandemic had a significant impact on a wide range of businesses and industries in the last two years. Our economy is gradually emerging from its debilitating impact, with the revival of consumption demand and easing of supply chain constraints. Power demand has also surpassed the pre-pandemic highs, with peak demand hitting new lifetime highs in 2022. However, the war in Ukraine and comeback of inflation after almost a decade have posed a new set of hurdles to the global economic recovery. With prices of fuel and other commodities, especially of food items remaining volatile, inflation is likely to remain elevated in the near term. Under these unusual circumstances, your company was able to measure up to the challenges and deliver excellent results.

PFC IS NOW A MAHARATNA COMPANY

During the year, your company was conferred 'Maharatna' status by Government of India, the highest recognition for a public sector company. This is an endorsement of PFC's enhanced stature and an acknowledgement of its sterling role in turning a power deficit country into a power surplus state with universal access to electricity. Maharatna status will give PFC greater operational and financial autonomy and enable diversification of its operations to further accelerate its business growth.

OPERATIONAL & FINANCIAL PERFORMANCE

I am pleased to announce that, during FY 2021–22, we have delivered the highest ever net profit of 10,022 crore, up 19% from the previous fiscal. On a consolidated basis, the company earned net profit of ₹18,768 crore, a 19% increase from FY 2020-21. At the end of the fiscal year, PFC's loan assets stood at ₹ 3.73 lakh crore on standalone basis and ₹ 7.59 lakh crore on consolidated basis. The Net Worth of your company was ₹ 59,350 crore as on 31.03.2022 and the Capital to Risk Weighted Assets Ratio was at a healthy level of 23.48%, with Tier I capital ratio of 20.00%. To reward our shareholders, PFC has declared a total dividend of 120% i.e. ₹ 12 per share during FY 2021-22, which is the highest pay out in the history of PFC.

PFC is the **1st Maharatna in Financial space.** Maharatna status will give PFC greater operational and financial autonomy and enable diversification of its operations to further accelerate its business growth.



Shri R.S. Dhillon, CMD along with Ms. Peggy Frantzen, Ambassador of the Grand Duchy of Luxembourg at the listing ceremony of PFC's Euro Green Bond on Luxembourg Stock Exchange.

On asset quality front, your company continued the steady improvement, with net NPAs at 1.76%, the lowest level in the past 6 years. Stressed assets worth ₹ 2,787 crore were resolved, including Essar Power MP, RS India WinEnergy & GVK Ratle. Two other projects, namely South East UP Transmission and Jhabua Power are in advanced stages of resolution in NCLT.

Your company took various measures to reduce the cost of borrowing and as a result, the cost of funds reduced by18 bps in FY 2021-22 to 7.30%. In September 2021, PFC issued

₹ 59,350 CR
Net worth

its first ever Euro Green Bonds amounting to EUR 300 million at a coupon of 1.841%. This was the first ever Euro denominated Green bond issuance from India and the bonds are listed on the Singapore Stock Exchange, India INX and NSE IFSC.
The funds raised under Green bonds have been utilized to finance renewable energy projects in line with PFC's Green Bond Framework. The company also increased its 54 EC Bond mobilisation



Shri R.K. Singh, Hon'ble Cabinet Minister of Power and New & Renewable Energy releasing the "Ranking & 10th Integrated Rating of State Distribution Utilities" in New Delhi.

by 1.5 times in FY 2021-22 compared to the previous fiscal. These bonds have a low coupon of 5% and are an important source of low cost funds. PFC continues to enjoy the highest

₹ 36,701 CR
Interest Income

domestic credit ratings for its long term and short term borrowing programmes. The company's international credit ratings continue to be Baa3 and BBB-, which is at par with the sovereign rating of India.

POWER SECTOR REFORMS

Your company plays a developmental role in the Indian power sector and is designated by the Government of India as the nodal agency for implementation of various schemes in the sector. The R-APDRP and IPDS schemes, which resulted in strengthening of power distribution systems in urban areas, were successfully closed during the year. The schemes involved execution of about 2,000 projects across India, involving total expenditure of about ₹ 60,000 crore.

Roll out of the Revamped Distribution Sector Scheme (RDSS) is progressing smoothly, with enthusiastic participation by the states. Till now more than 20 States and UTs have got their reform action plans approved under the scheme. When implemented by 2024-25, the scheme will restrict pan India level AT&C losses to 12-15% and reduce the ACS-ARR gap to zero, which would bring about a marked improvement in the viability of the power distribution sector.

In order to address the issue of mounting dues of power distribution companies to generators and transmission companies, Government of India has introduced the Electricity (Late Payment Surcharge and Related Matters) Rules, 2022. PFC has extended financial assistance to various distribution companies under the rules, to clear their